

Next, consider if the distribution is fair. Remember that a premine (where the assets are mined before the network is made widely available, as was the case with bytecoin) or an instamine (where many of the assets are mined at the start, as was the case with dash) are both bad signs because assets and power will accrue to a few, as opposed to being widely distributed in line with the egalitarian ethos.

As much as these comments about premines and instamines can sound black and white, the reality is there may be appropriate reasons for different issuance models. Issuance models are evolving as developers sort through the *cryptoeconomics* of releasing cryptoassets to support decentralized networks. As with central banks and traditional economics, people are feeling their way toward what works. Furthermore, the issuance model of cryptoassets is always subject to change. For example, Ethereum started with one planned issuance model, but is deciding to go with another a couple years into launch.¹⁵ Such changes in the issuance model may occur for other assets, or impact those assets that are significantly tied to the Ethereum network.

While we have covered a few issuance models in detail, like those of Bitcoin and Monero, the most important aspect is that the issuance model fits the use case. With Dogecoin we saw that it needed lots of units outstanding for it to function as a tipping service, which justifies it currently having over 100 billion units outstanding, a significantly larger amount than Bitcoin. With many people turning to bitcoin as gold 2.0, an issuance model like Dogecoin's would be a terrible idea.